

SYNDICATE BANK

Eligibility: The student has to be an Indian national. A major representing himself, or a minor represented by his guardian, can apply for the loan.

The bank gives funds for all recognised management courses in the country as well as for those in recognised institutes abroad. However, foreign diploma courses are not eligible for a loan.

Expenses Covered: The bank provides finance for the entire spectrum of the student's needs during the study period. This includes expenses like tuition fee, examination cost, boarding, lodging, books and airfare. No monetary assistance is provided for capitation fees, coaching and donation.

Upper Limit: For pursuing a course in India, the bank provides a loan of up to Rs 7.5 lakh. This is subject to a 5 per cent margin. For those pursuing their studies overseas, the maximum loan amount is Rs 15 lakh.



Rate of Interest: For studies in India, the rate of interest is 12.25 per cent per annum—the current prime lending rate (PLR) minus 1 per cent. Loans for studies abroad carry an interest rate of 11.75 per cent, that is, 1.5 per cent less than PLR.

Repayment Period: The student gets a buffer period of one year after the end of the course or six months after finding a job, whichever is earlier. Following this, he/she needs to repay the loan over 84 equated monthly instalments (EMIS).

Security: For any education loan, a parent or guardian's co-obligation is necessary. For loans up to Rs 7.5 lakh, no security is required. However, for any amount over Rs 4 lakh, the bank mandates a third party guarantee. In case of a loan of over Rs 7.5 lakh, the bank requires collateral security equal to 100 per cent of the loan amount, with a suitable margin, as well as a third party guarantee.

BANK OF BARODA

Eligibility: The applicant should be a citizen of India and should have secured admission to the desired course. The bank does not specify any minimum qualifying marks and provides loans for all AICTE-approved, recognised courses in India and all reputed universities abroad. The bank also provides a special loan for executive development, which is targeted at helping future management leaders acquire specialised managerial skills. All working executives who are looking at pursuing management education are eligible under this scheme.



Expenses Covered: The loan covers all of the student's expenses, including tuition fee, boarding and lodging, books, study tours, laptops, airfare or any other requirement of the student.

Upper Limit: For pursuing a course in India, the bank provides a loan of up to Rs 7.5 Lakh. This is subject to a 5 per cent margin if the student takes a loan of over Rs 4 lakh. For studying abroad, the student gets a loan of up to Rs 10 lakh for an undergraduate course and up to Rs 15 lakh for a postgraduate course. The margin rate in this case is 15 per cent.

Rate of Interest: For studies in India, the rate of interest is 12 per cent for loans of up to Rs 4 lakh, any amount over this charged interest at the rate of 14 per cent.

Repayment Period: The student has to start paying the loan amount a year after the completion of the course or six months after finding a job, whichever is earlier. After this period, the loan amount has to be paid back within five years.

Security: No security is required for a loan of up to Rs 4 lakh. For a loan amount between Rs 4–Rs 7.5 lakh, a third party guarantee along with an assessment of future income is needed. In addition to this, the bank demands collateral security equal to 100 per cent of the loan amount for any sum greater than Rs 7.5 lakh.

ORIENTAL BANK OF COMMERCE

Eligibility: All Indian nationals who are below 45 years of age and have secured admission to a recognised course in an approved university, an AICTE-approved institution, or an institute recognised by a statutory body, are eligible for an education loan from this bank.

Expenses Covered: The loan covers all the expenses of the student, including tuition fee, books, air fare, study tours, boarding and lodging. In the case of accommodation, however, the amount is paid directly to the management of the boarding house.

Upper Limit: For pursuing a course in India, the bank provides a loan of up to Rs 7.5 lakh. For students going abroad, the maximum loan amount is Rs 15 lakh. This is subject to a 5 per cent margin, which students have to put in on their own.

Rate of Interest: For a loan of Rs 4 lakh or less, the bank charges an interest of 11.25 per cent per annum. For

loans above that amount, it charges 12 per cent. Simple interest is to be paid during the study and moratorium period, and if it is paid on time, the student is entitled to a 1-per cent concession. There is also a 0.5 per cent concession for girl students and SC/ST candidates.

Repayment Period: The student gets a buffer period of a year after finishing the course, or six months after finding a job, whichever is earlier. Following this, the loan has to be paid over 84 EMIS.

Security: No security is required for a loan of Rs 4 lakh or less, but co-obligation of a parent or guardian is a must. For a loan of up to Rs 7.5 lakh, no security is required, but a guardian's co-obligation and a third party guarantee are necessary. For loans up to Rs 15 lakh, co-obligation by parent/guardian, and immovable security or assets with a value equal to 100 per cent of the loan amount, are required.

